

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open a charting software.

Select a security you want to trade.

Set the chart on a 5-minute timeframe.

Look for a price consolidation.

Look for the 9-EMA crossing the 21-EMA from below.

Wait for the price to break the resistance.

BUY above the breakout candle.

Place **STOPLOSS** below the swing low or at the low of the breakout candle.

The **TARGET** is at the projected resistance or price reversal.

Risk to Reward ratio is 1:2 on an average.

As you can see in the above picture, the Nifty reached its bottom in the 5-minute timeframe and reversed for an upside move but, a consolidation is required for the entry here. Now when the price halted and stayed in a narrow range before rallying, it was a sign that a good upside move is expected. The buy signal is triggered once the green candle breaks the consolidation range.